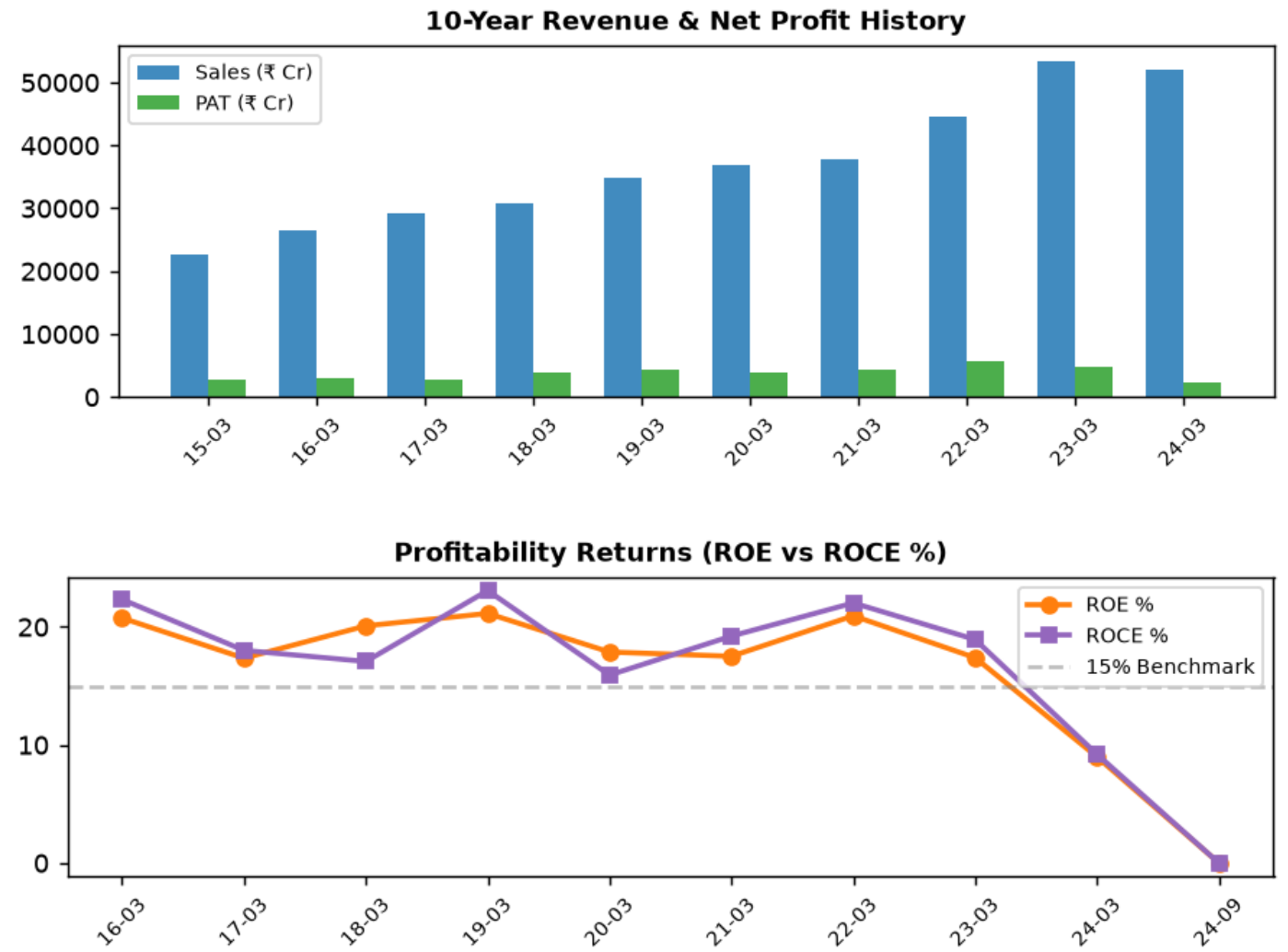


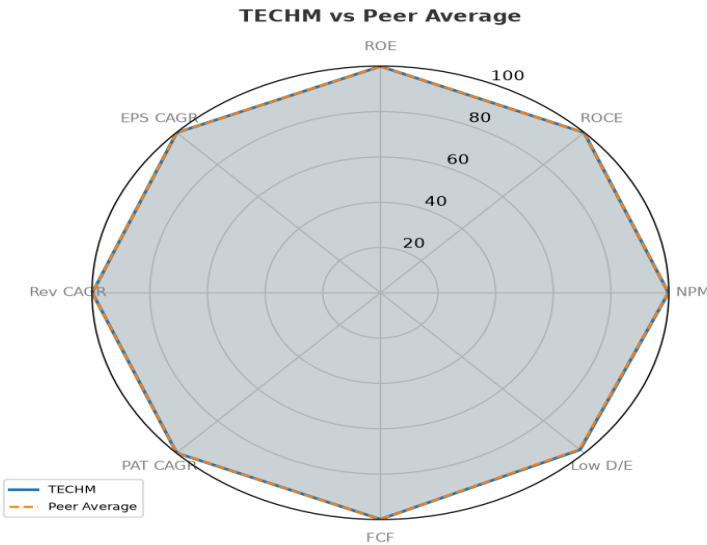
Return on Equity	Return on Capital	Net Profit Margin	Debt-to-Equity	Free Cash Flow	P/E Ratio
N/A	N/A	N/A	0.08x	N/A	57.4x

About: Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and



Tech Mahindra Ltd (TECHM) — Financial Deep-Dive & Quality Profile

Metric (■ Cr / %)	2020-03	2021-03	2022-03	2023-03	2024-03
Revenue / Sales	36,868	37,855	44,646	53,290	51,996
Operating Profit (EBITDA)	5,503	6,796	8,020	7,763	4,506
Net Profit (PAT)	3,897	4,353	5,630	4,857	2,397
EPS (■)	42.0	46.0	57.0	50.0	24.0
Operating Margin (OPM %)	17.9%	18.0%	14.6%	8.7%	0.0%
Return on Equity (ROE %)	17.5%	20.9%	17.4%	9.0%	0.0%
Debt-to-Equity (x)	0.12	0.10	0.10	0.10	0.08
Free Cash Flow (■ Cr)	2,661	5,765	5,346	5,058	0



Investment Highlights & Risk Factors

Key Strengths (Pros)	Risks & Considerations (Cons)
• [PRO] Conservative capital structure with D/E of 0.10x. • [PRO] Generates robust annual free cash flow of ■5,058 Cr. • [PRO] Superb interest coverage ratio indicating negligible solvency risk.	• [CON] Return on equity of 9.0% is below cost of capital. • [CON] Net profit margin is low at 4.6%, vulnerable to cost pressures.